

UNCERTAINTY



Deutsche Bank
Research

M&A Spotlight:

When rates rise ...

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

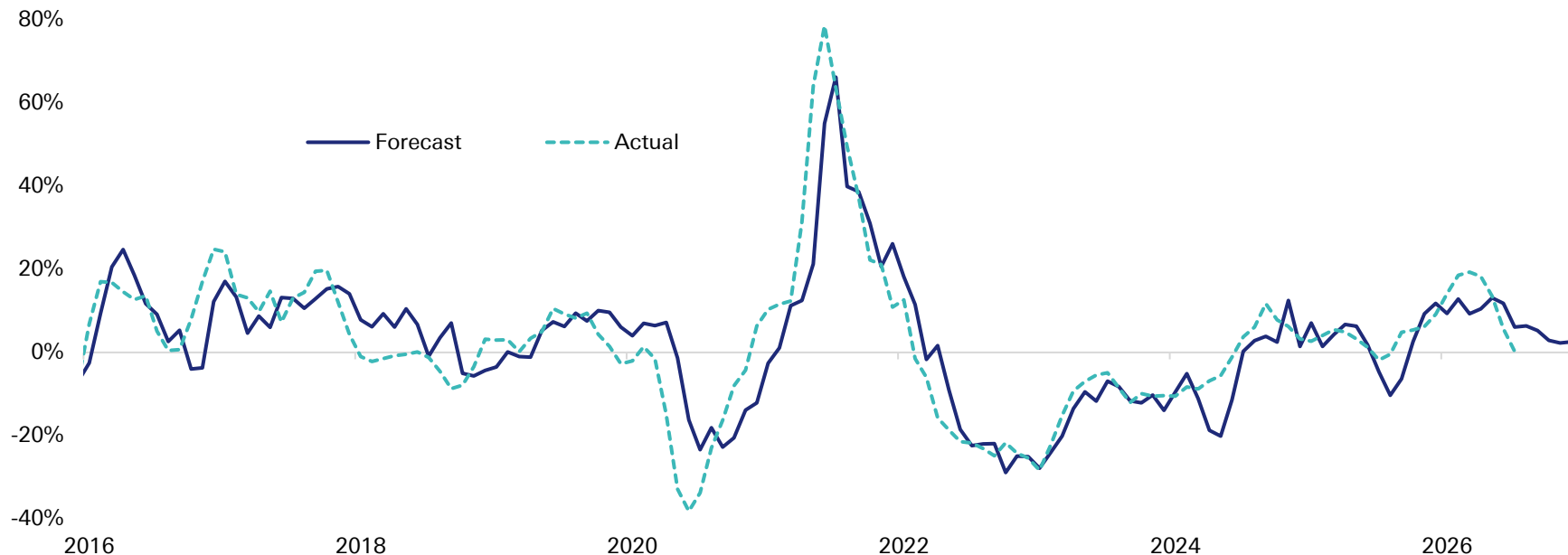
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GEOPOLITICS

Our M&A forecast model: In the US we see low but positive growth over the coming 3 months
Mid-term elections are incentivising some CEOs to wait for greater legislative certainty. That is combining with the reemergence of greater geopolitical uncertainty and the second round of rising oil prices to dampen near-term forecasts



Our 3m-forward forecast for growth in US M&A deal numbers

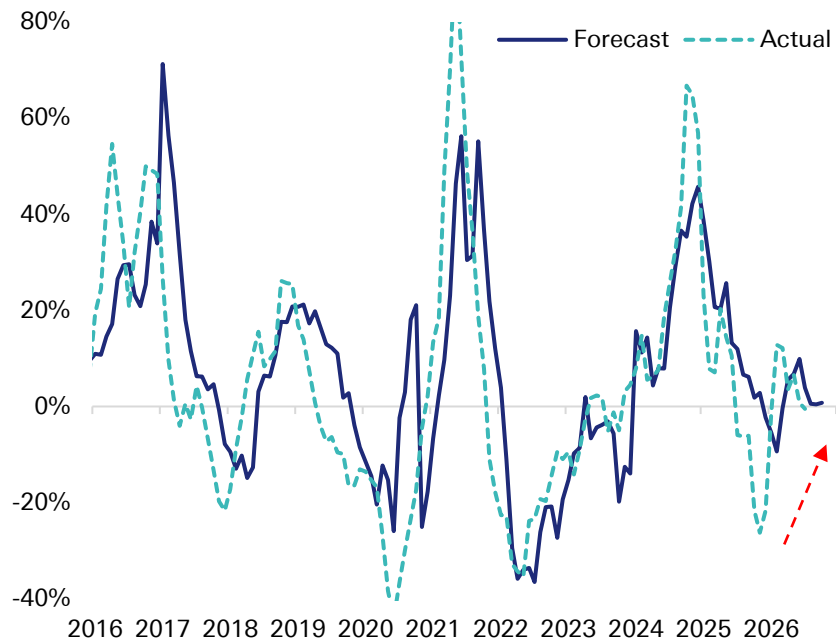


Source: Bloomberg Finance L.P., Dealogic, Deutsche Bank

Our M&A forecast model: In the UK and Europe, our model shows similar low but positive growth
In the UK, this will be encouraging given the market is recovering from a significant drop over the last 24 months

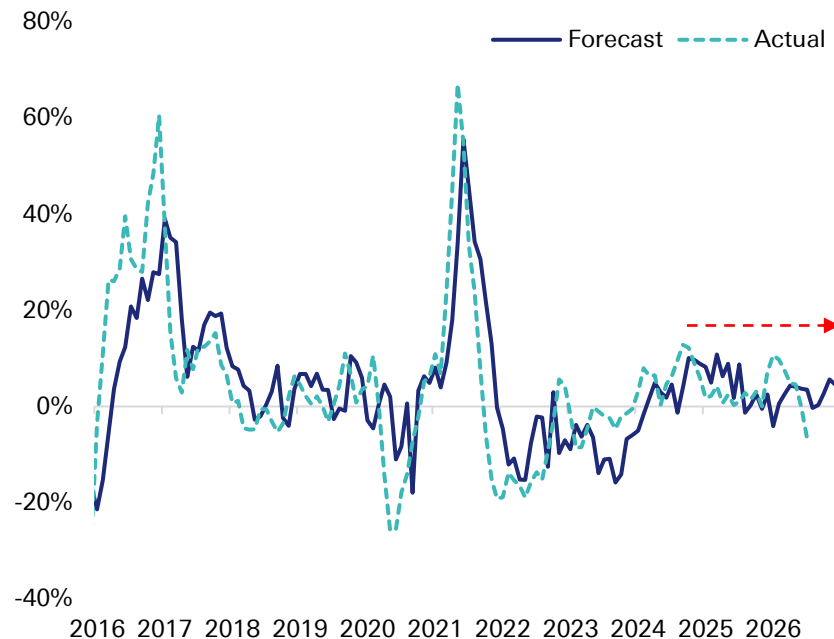


Our 3m-forward forecast for growth in UK M&A deal numbers



Source: Bloomberg Finance L.P., Dealogic, Deutsche Bank

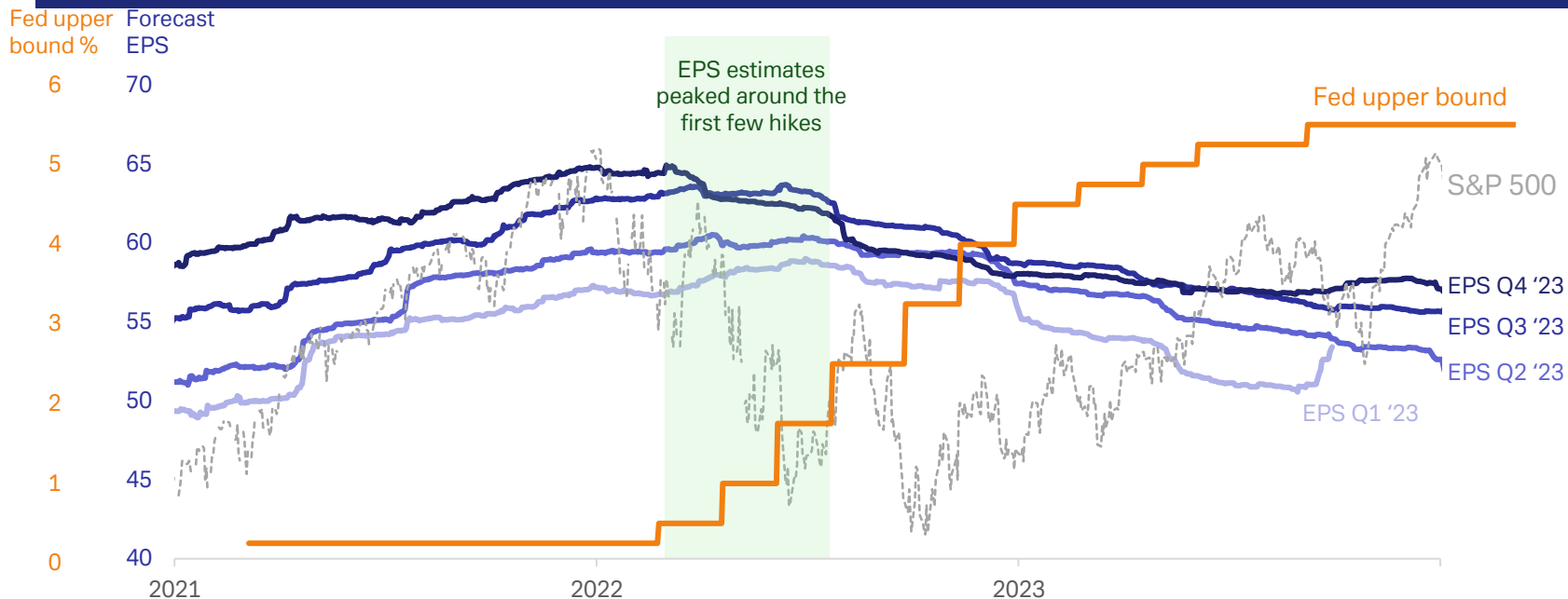
Our 3m-forward forecast for growth in Eurozone M&A deal numbers



Last time around ... Earnings estimates peaked just after the 2022-23 hiking cycle began
It took a few rate rises for investors to materially cut their EPS estimates. However, the extent of the hikes in that cycle were significantly higher than they are likely to be this time around.



EPS estimates for the S&P 500 during the 2022-23 hiking cycle



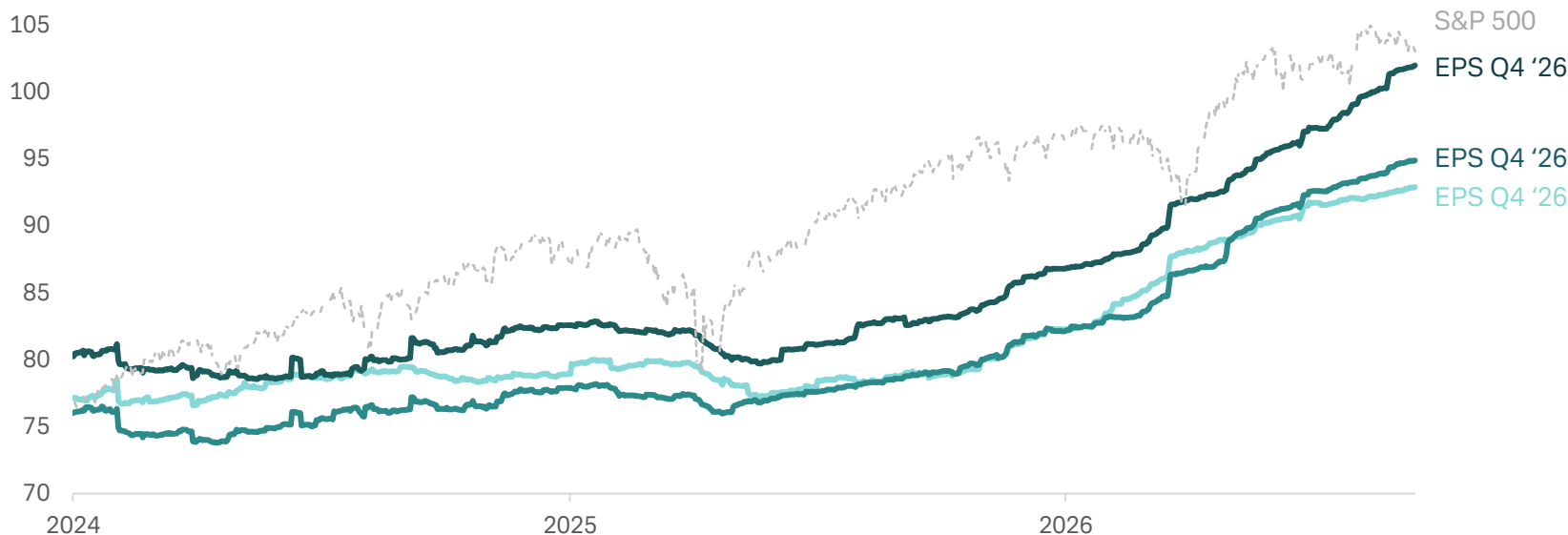
Source: Bloomberg Finance L.P., Deutsche Bank

This time around ... Earnings estimates have accelerated into the rate hike

So far, expectations for rate rises have not caused a substantial rerating of EPS estimates, including in tech companies. The effect may become more pronounced if bond yields breach the 5.00% barrier for a longer period of time.



EPS estimates for the S&P 500 for selected future quarters



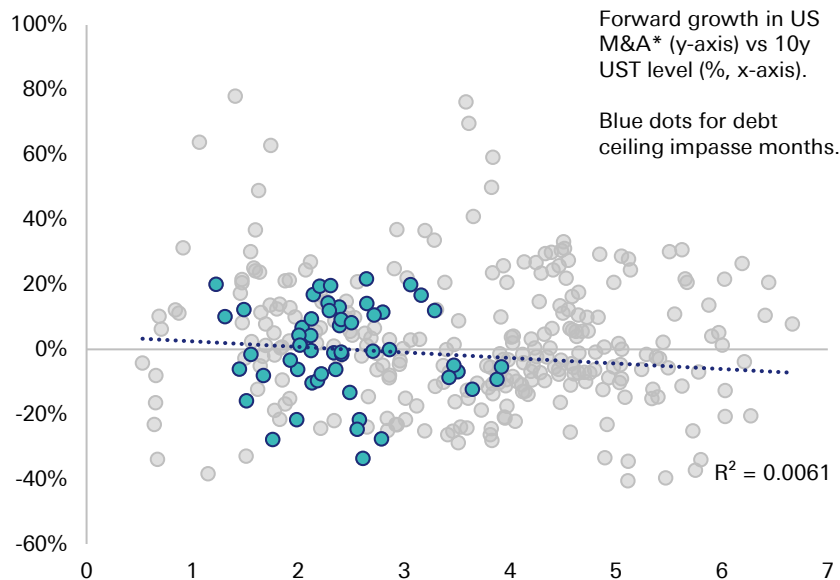
Source: Bloomberg Finance L.P., Deutsche Bank

Positive news: Throughout recent history, M&A is relatively unaffected by treasury yields

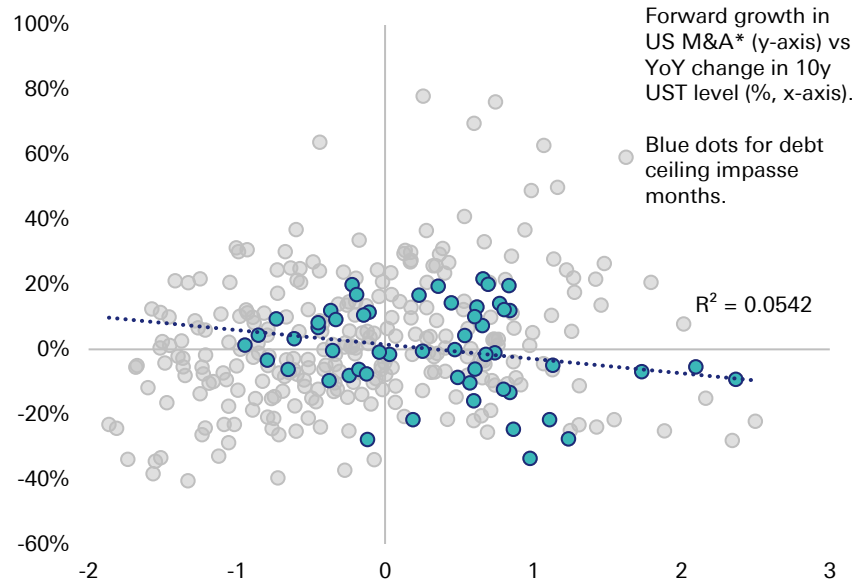
The only material exception to this is when there is an extreme change in the steepness of the 2-10 yield curve – ie. When the yield curve steepens >150 basis points in 12 months.



M&A v the level of the 10yr yield



M&A v the change in the 10yr yield



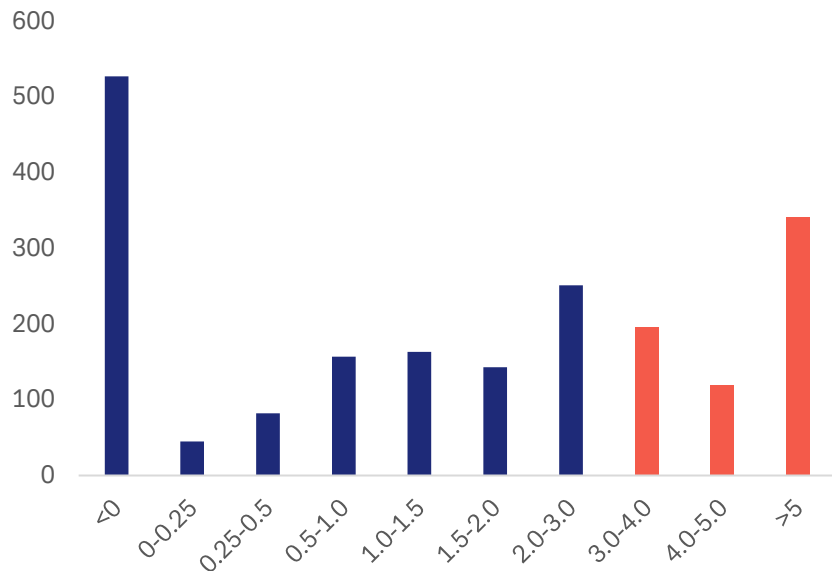
Source: Dealogic, Bloomberg Finance L.P., Deutsche Bank

Make no mistake, higher nominal rates will have a material impact on some firms

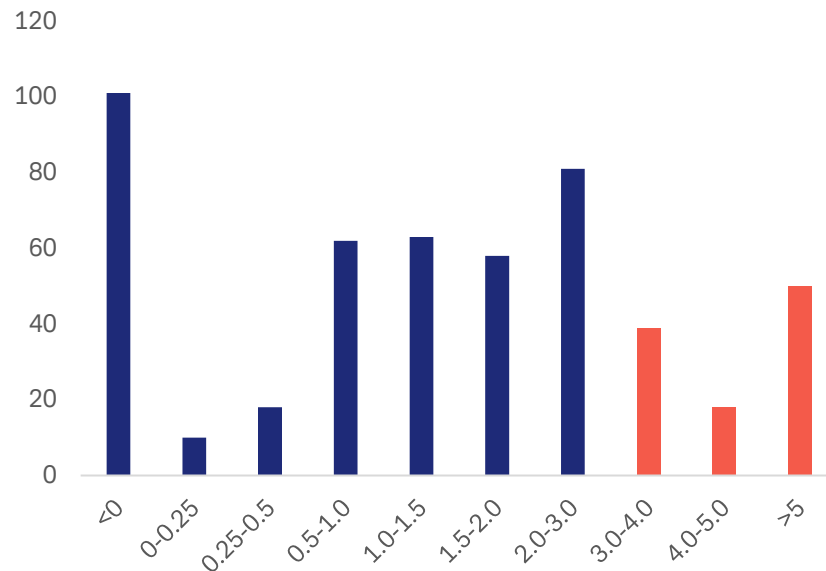
Firms with high debt loads may be more open to M&A opportunities if expectations move towards a more drawn out rate hike cycle



Number of companies with net debt/ebitda in each bucket (Russell 3000)



Number of companies with net debt/ebitda in each bucket (Stoxx 600)

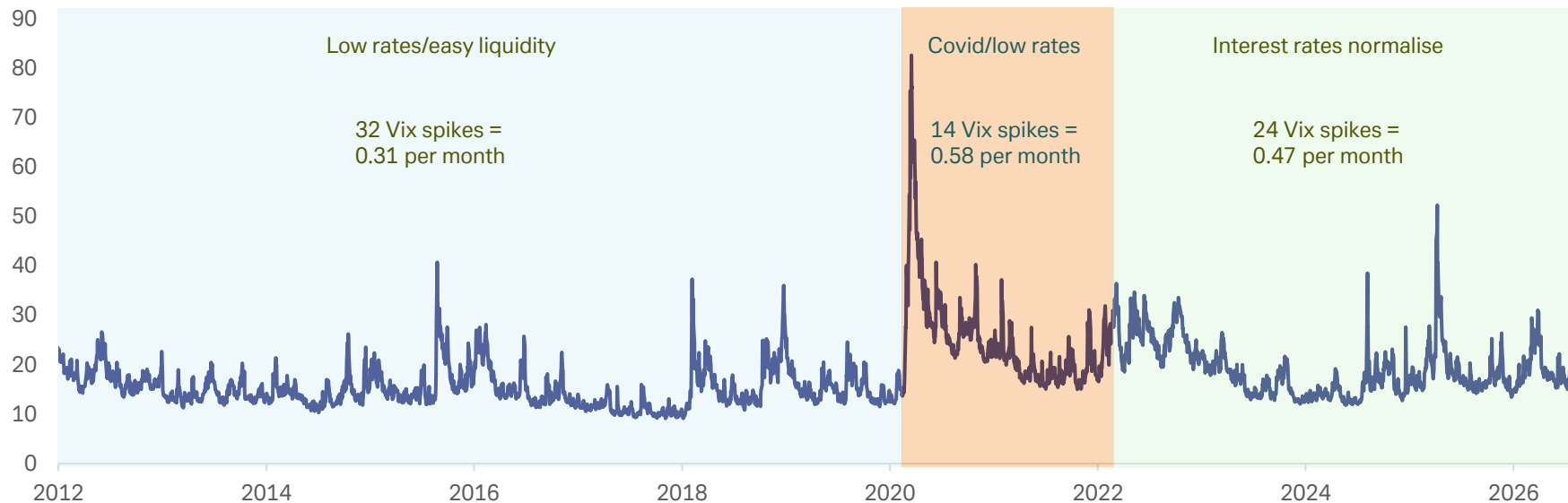


Source: Bloomberg Finance L.P., Factset, Deutsche Bank

The impact of higher rates will be amplified by a market that is showing more volatility
Higher rates tend to bring pre-existing problems to the surface. Given there has been a higher frequency of “volatility events” since rates normalised in 2022, higher rates today could catalyse even more volatility events, even if they are contained.



Vix volatility gauge



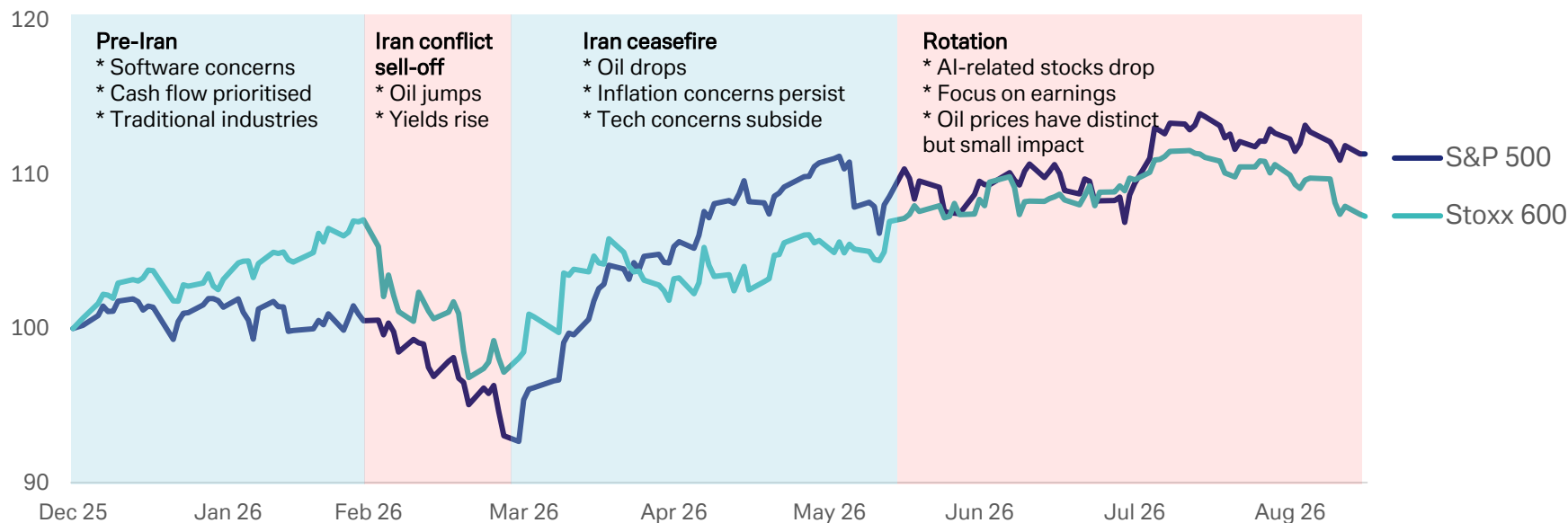
Source: Factset, Deutsche Bank

Already this year, equity markets have lurched between different narratives

Volatility in 2026 has been less dramatic than it was in 2025, however, the changing narratives indicate investors remain skittish



Four stages in equity markets in 2026



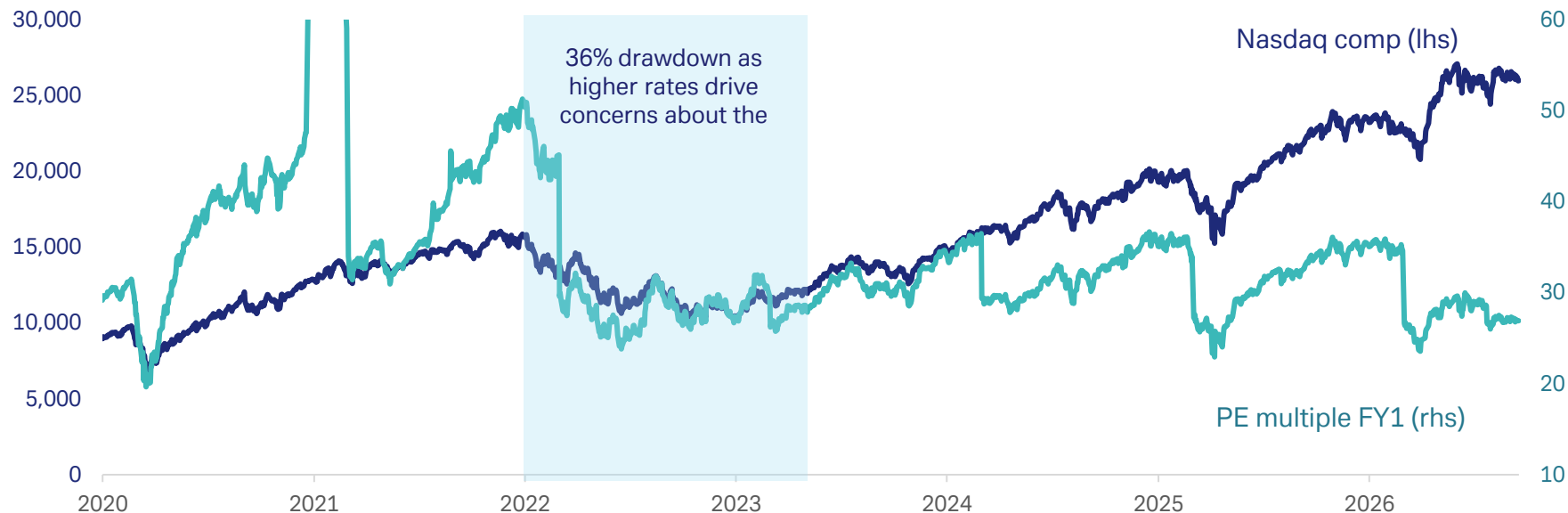
Source: Factset, Deutsche Bank

Broader markets are benefiting from the lack of a tech sell-off, despite higher bond yields

That is a stark contrast to the 2022-23 rate-rise period and is partly due to the strong earning growth at Big-Tech firms. If current earnings forecasts remain intact, current multiples are undemanding compared with recent history. The key thing is expectations about future rate rises and how they affect terminal rates.



Nasdaq composite (price and valuation)



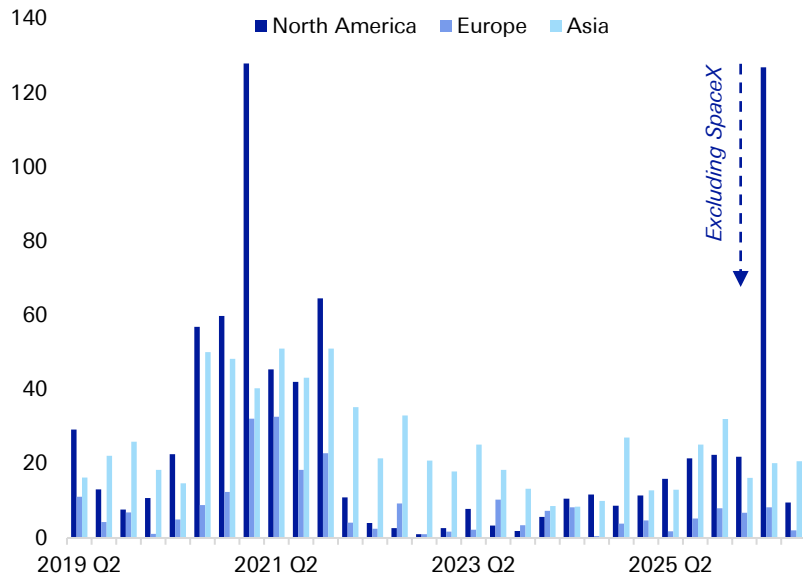
Source: Factset, Deutsche Bank

IPOs are recovering but are still well below 2021 levels ... excluding the very largest

More AI-related businesses are likely to come to the market even after larger firms go public. Tech IPOs have been relatively muted despite the boom in financing this decade. Investors' appetite for AI and big capital markets issuances may push more managers to exit tech holdings while the mood lasts. There have been just c\$7bn in pure-play AI IPOs in the US since 2025.

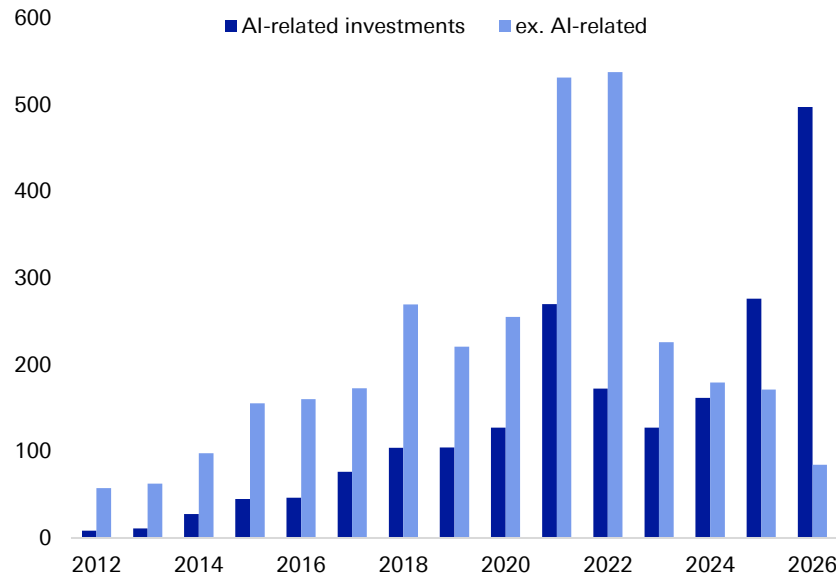


IPO deal values by quarter \$bn



Source: Dealogic, Deutsche Bank

Worldwide VC investment in AI (\$bn)

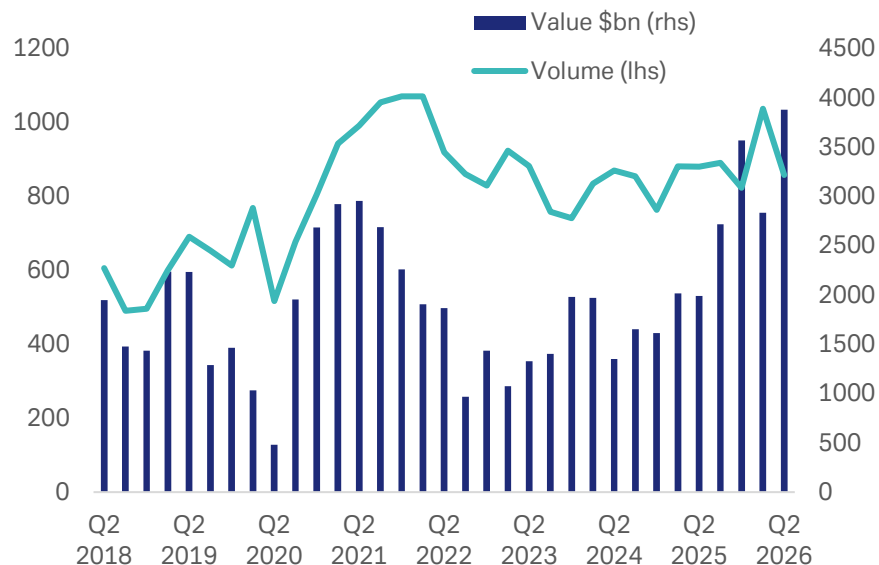


M&A continues to be dominated by big deals

Deal values continue to climb even though deal numbers remain in a tight range. We believe a period of background economic calm is needed for the CEOs of smaller firms to gain the confidence needed to pursue deals.

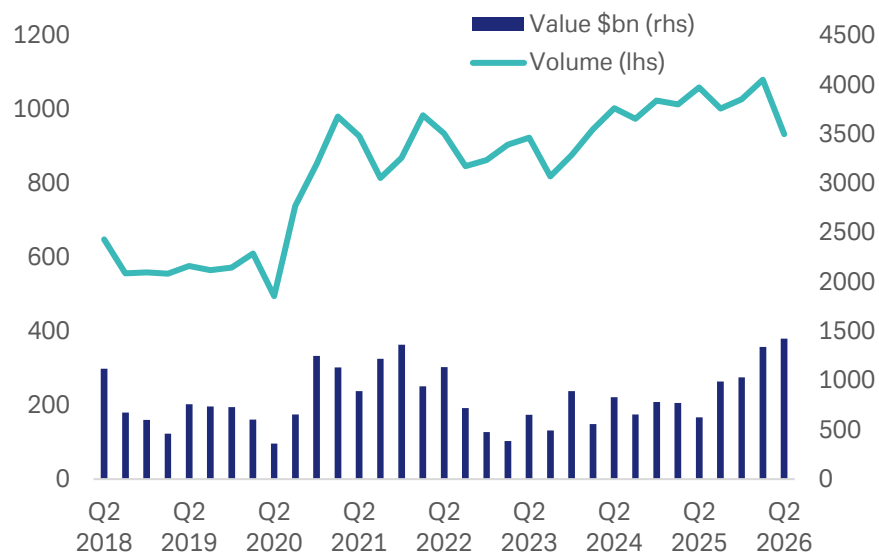


North American M&A



Source: White & Case, Deutsche Bank

Western European M&A



CEO confidence: Leaders expect the economy to be resilient to the current Iran conflict

Still, surveys show that although CEOs are confident about their own company, they are less confident in their industry, and less still in the economy more broadly. That is keeping a lid on some M&A for now.



CEO confidence in the economy 1yr from now



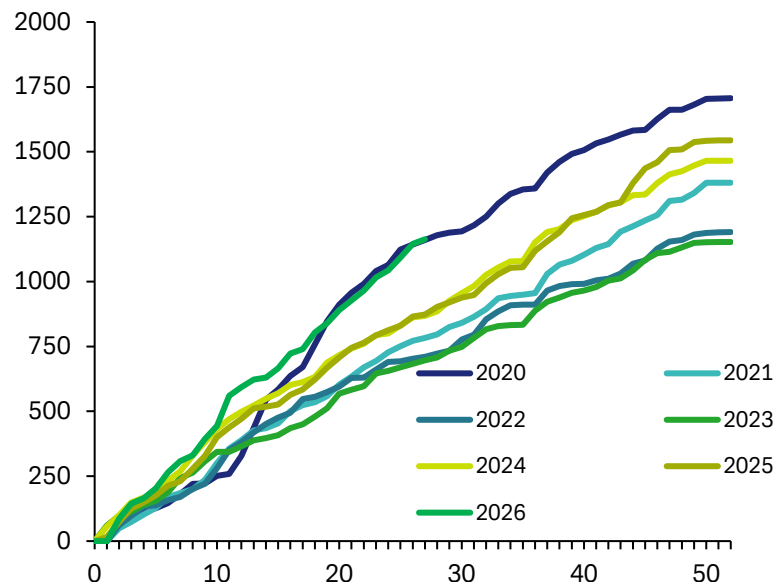
Source: Bloomberg Finance L.P., Deutsche Bank

Financing is abundant ... but can be selective

Debt issuance is still strong and tracking alongside the strongest level this decade. Private capital dry powder continues to push to record levels

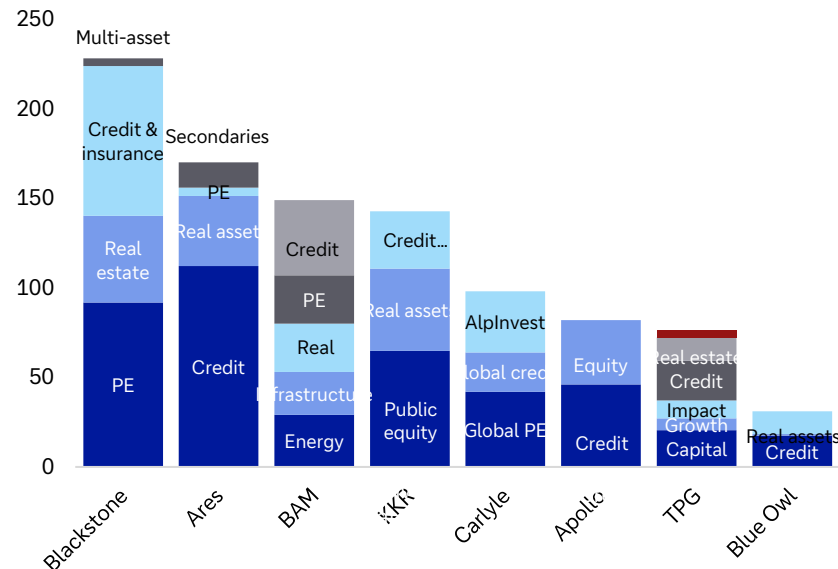


\$IG gross supply (\$bn) by week



Source: Bloomberg Finance L.P., Deutsche Bank

Dry powder by manager and segment, Q2 2026 (\$bn)

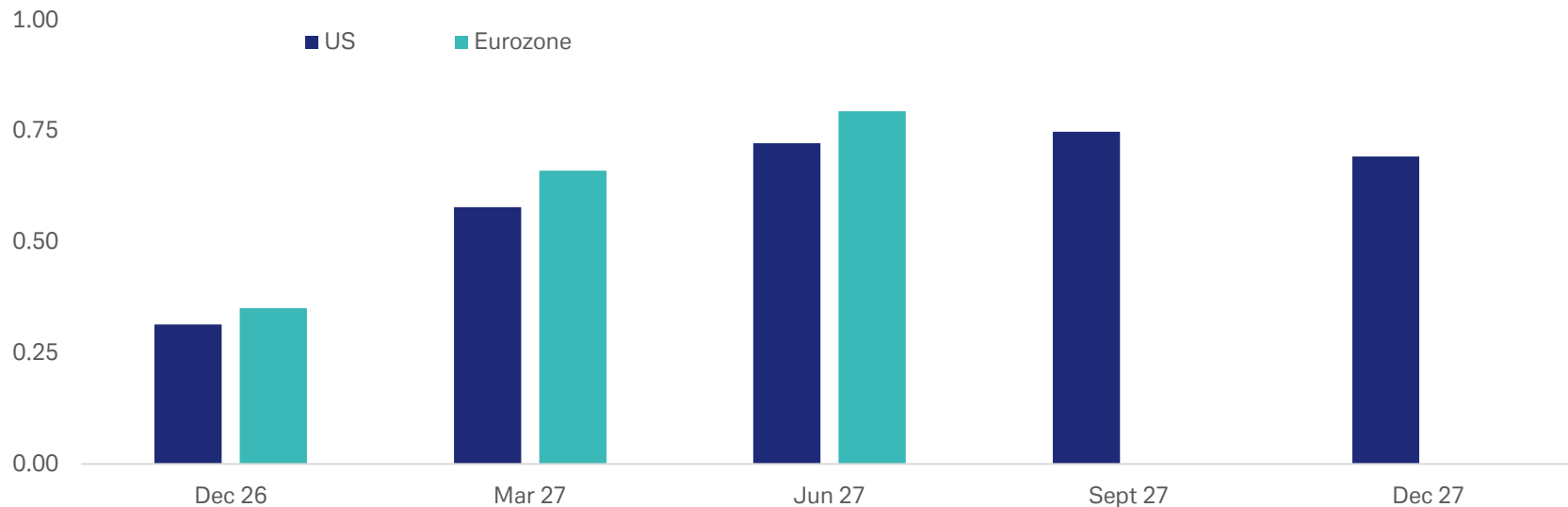


Markets are forecasting an easing of rate-rise (and thus inflation) expectations in 2027

The risks in the current environment may skew towards higher yields as expectations for the conflict in the Middle East lengthen and its impact becomes more severe



Implied interest rate rises by the end of each period (pp)



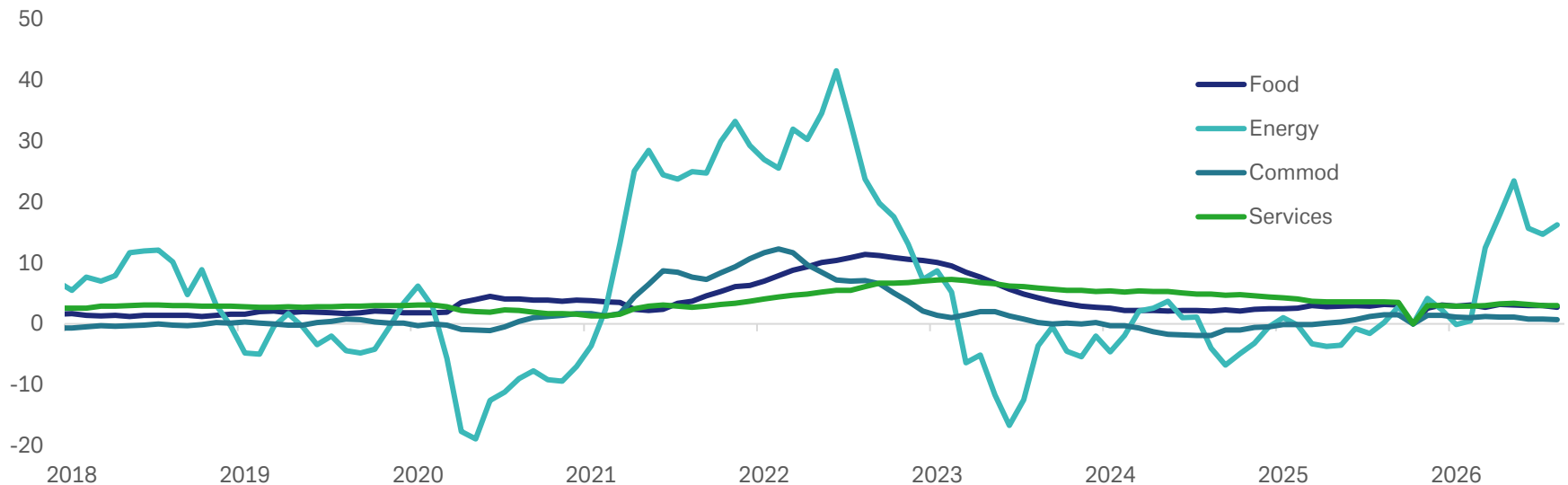
Source: Bloomberg Finance L.P., Deutsche Bank

The last energy shock lasted about 2 years

Iran's assertive push to control energy flows around the Middle East makes it unfeasible to project the length of energy shock



US CPI components (yoy % change)



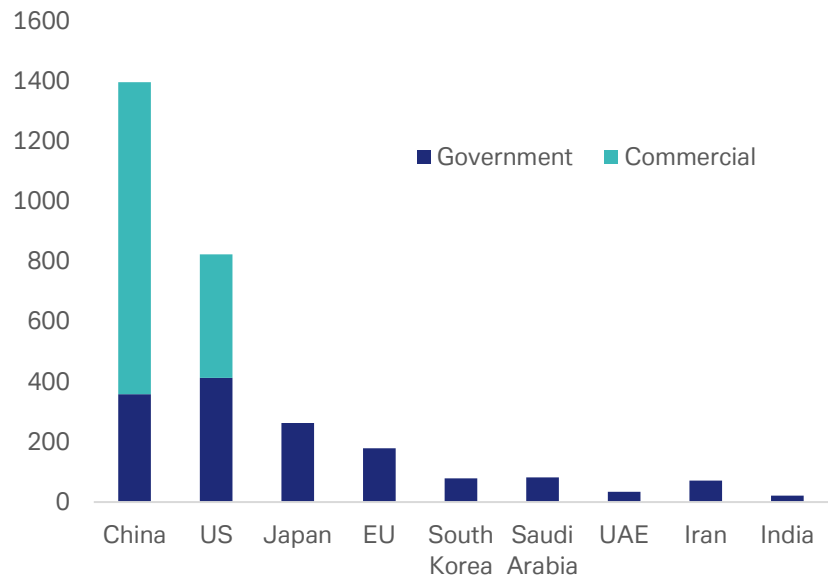
Source: Haver Analytics, Deutsche Bank

The trajectory of the energy shock will depend, in part, on oil inventory buffers

Industry executives have warned over the last two weeks that energy inventories have buffered the world economy for the last 6 months but that those buffers are approaching a cliff edge



Crude oil inventories pre-Iran conflict (m barrels)



Source: RAND, Deutsche Bank

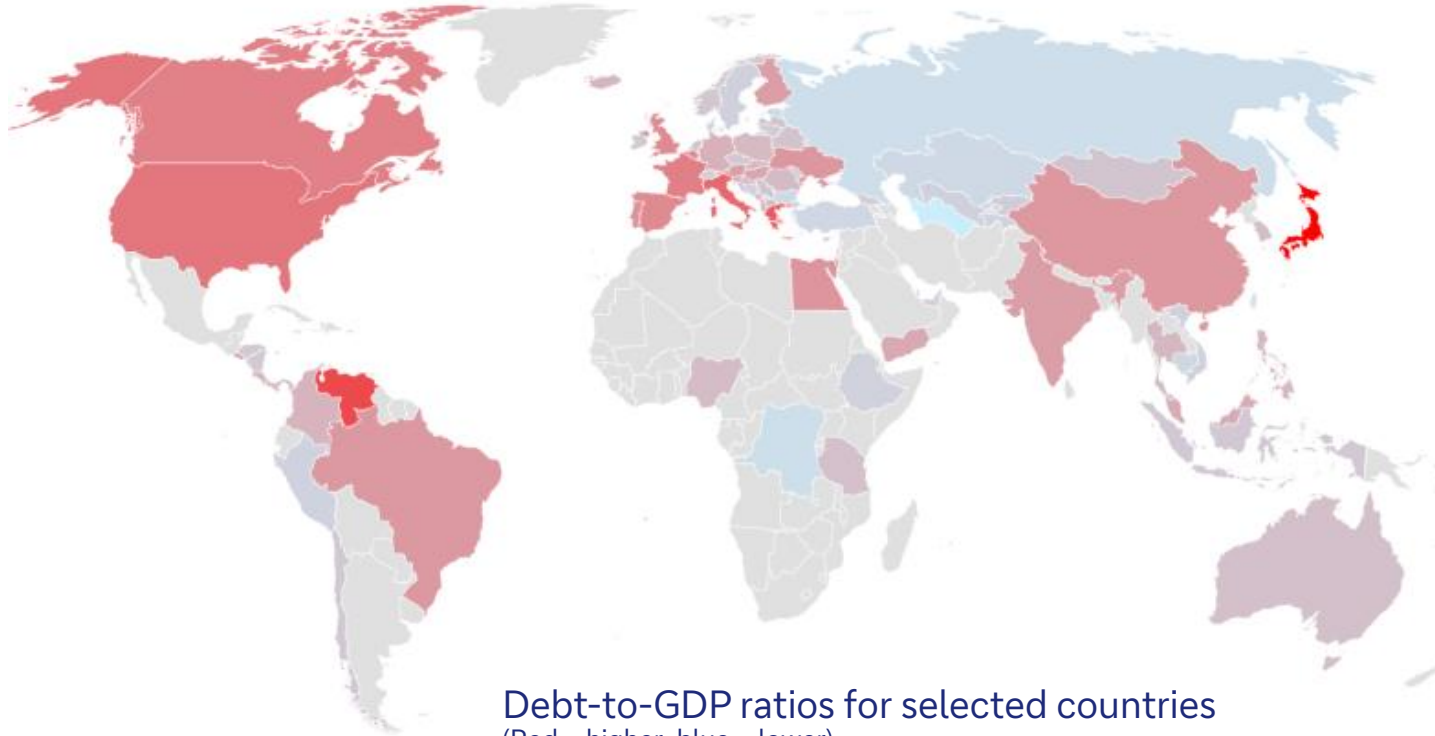
The way China uses its Strategic Petroleum Reserve is critical for world energy prices

RAND estimates China held between 1.1bn and 1.4bn barrels as of May this year – equivalent to 110-140 days of net imports.

That compares with the 400m barrel release coordinated by the IEA in March which had only a limited impact on markets.

Sovereign debt around the world

Confidence in indebted sovereigns tends to ebb and flow and markets usually experience at least one major 'risk-off' moment regarding sovereign debt each year. Upcoming elections in Europe will be a major focus point for investors over the coming months.



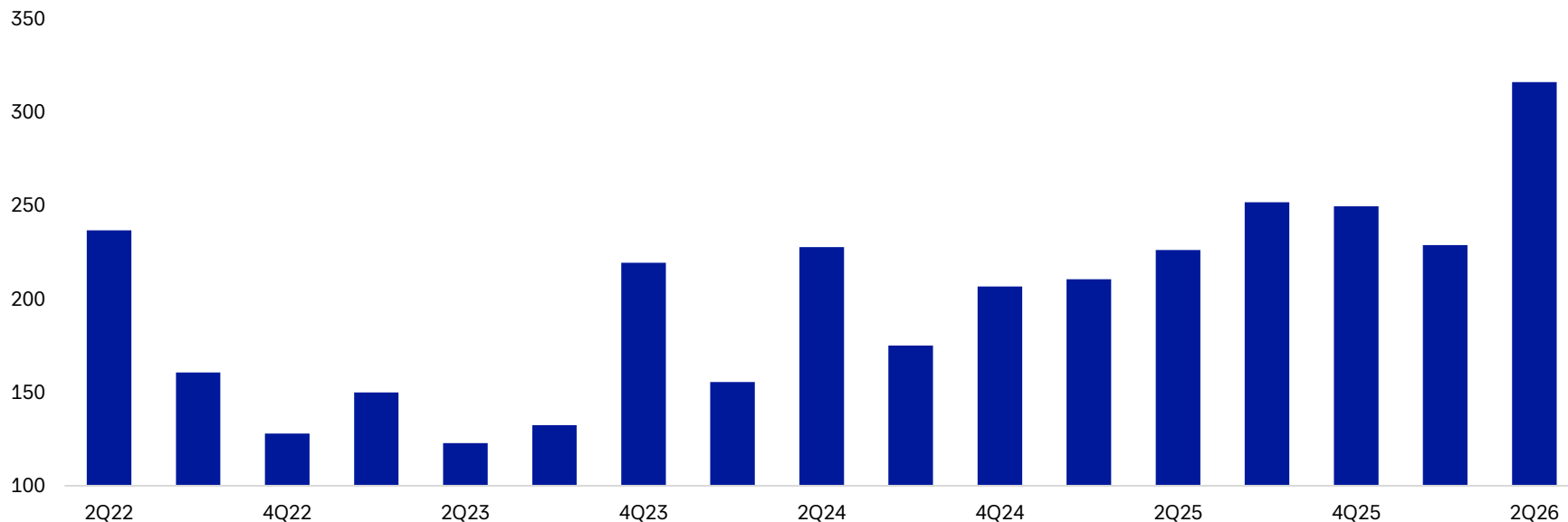
Source: IMF, Deutsche Bank

Private capital is searching for deals 1/2

Aggregate fundraising growth has shot up (in part due to one-off factors) and managers are confident in continued strength



Fundraising by selected large, listed private capital managers (\$bn)



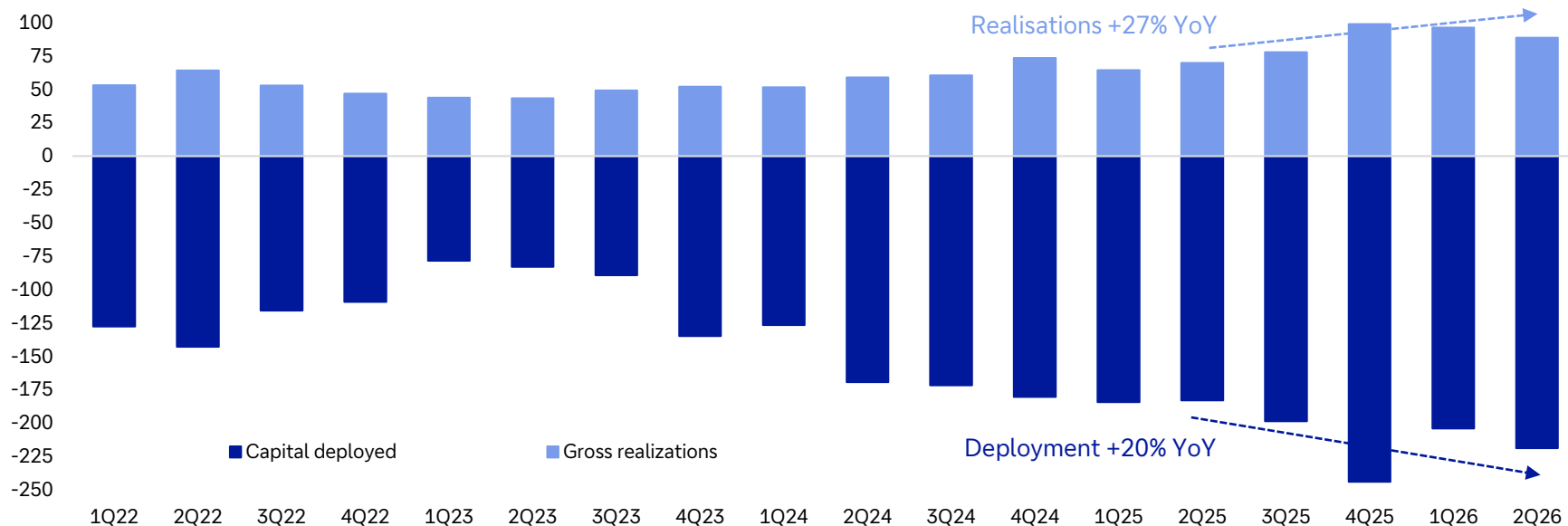
Source: Deutsche Bank company research - [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Deutsche Bank

Private capital is searching for deals 2/2

Manager confidence has been helped by the growing rate of deployment and realisations. Through to the end of the year, realisations growth will be in focus given the growing macro uncertainty



Selected private managers, deployment v realisations (\$bn)



Source: Deutsche Bank company research - [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Deutsche Bank

Appendix 1



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